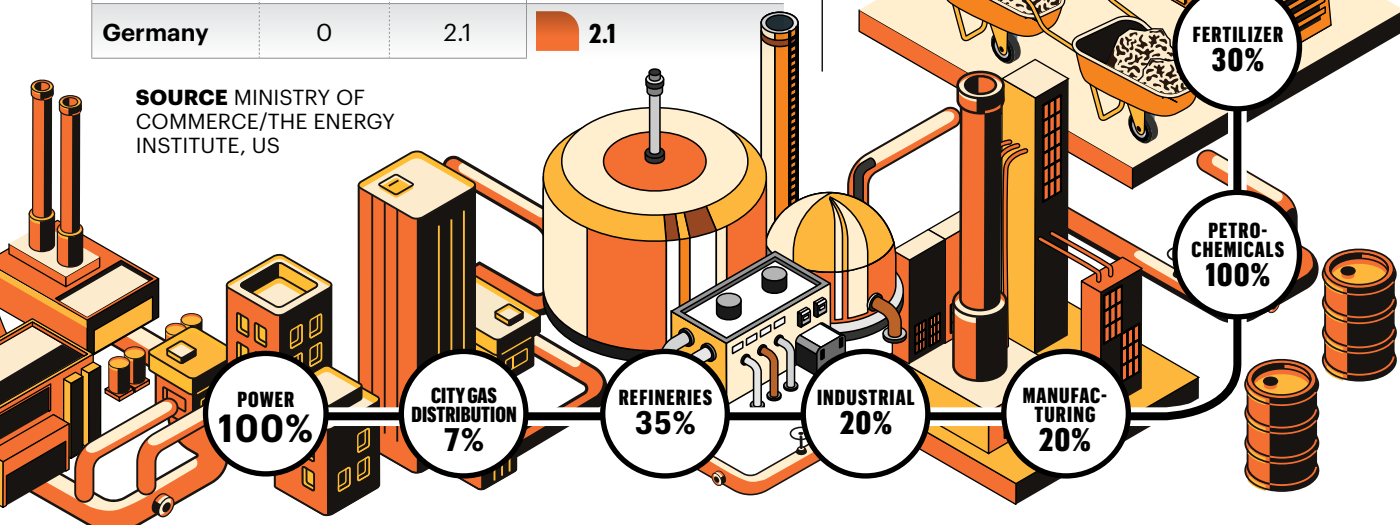


...IT IS ALSO THE 2ND-LARGEST IMPORTER

Country	Daily production (Million Barrels)	Daily consumption (Million Barrels)	GAP
China	4.3	16.4	12.1
India	0.7	5.6	4.9
Japan	0	3.2	3.2
South Korea	0	2.9	2.9
Germany	0	2.1	2.1

SOURCE MINISTRY OF COMMERCE/THE ENERGY INSTITUTE, US



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for seizure of the Indian government's overseas assets, ranging from flats used by its diplomatic staff in Paris to Air India planes in the US. Finally, the government refunded ₹7,900 crore to the company after it withdrew all cases. Kirit Parikh, an energy expert and former Member of the Planning Commission, says "policies have not been conducive to attracting foreign explorers, who are not fully trusting us because of a couple of incidents of retrospective policy changes."

"It takes years to build trust and minutes to lose it. The kind of bureaucratic permissions and other clearances required are time-consuming," Parikh tells *BT*. According to the government, the approval process for E&P has now been simplified and involves just 18 approvals, down from 37, of which nine are self-certifications.

Market research firm Mordor Intelligence says forest clearances can extend

beyond 900 days for upstream locations that intersect wildlife corridors. It says parallel land acquisition legislation mandates extensive community consultation, leading to compensation packages that can add 8–12% to project budgets. "The long timelines deter foreign independents from frontier plays and skew capital towards brownfield re-development due to already existing statutory paperwork," Mordor Intelligence says.

There have been calls for deregulating the oil and gas sector and instituting a market-based pricing mechanism. The government, though, introduced some pricing reforms in the gas sector in 2023, capping the price of domestic administered price mechanism gas at 10% of the monthly average Indian crude basket. Vedanta's Agarwal says there is a need to liberalise the heavily regulated oil and gas sector and rationalise rules in the crude oil E&P space.

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INDIA'S POTENTIAL,
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